

# Board of Directors Package

## Crestview Coffee Roasters — Q4 2020

Board Meeting: February 6, 2021 | Confidential — Board Use Only

| <b>Date</b>          | February 6, 2021                                                                   |
|----------------------|------------------------------------------------------------------------------------|
| <b>Location</b>      | Atlas Crossing Partners, 2 Embarcadero Center, Suite 1800, San Francisco, CA 94111 |
| <b>Board Members</b> | S. Chen, M. Tang (Atlas Crossing); A. Barrow (CEO); D. Frost, L. Kim (Independent) |
| <b>Management</b>    | A. Barrow (CEO); K. Williams (CFO); T. Wu (CMO); R. Flores (COO)                   |
| <b>Deal Team</b>     | S. Chen (Partner), M. Tang (MD), J. Mendez (VP), K. Patel (Associate)              |

### Agenda

1. Call to order and quorum confirmation
2. Approval of prior meeting minutes
3. Executive Summary and highlights
4. Financial performance review
5. Operational KPI update
6. Strategic initiatives status
7. Risk review
8. Next quarter outlook
9. Other business / adjourn

## Executive Summary

Crestview Coffee Roasters delivered Q4 2020 revenue of \$89.6M and EBITDA of \$12.6M (14.1% margin), ahead of budget by 3.0%. Cascade Roasting acquisition closed this quarter, adding Seattle production capacity and 18,000 incremental DTC subscribers.

## Financial Performance

| Metric          | Q4 2020 Actual | Budget  | Var. to Bud. | Prior Year Qtr | YoY    |
|-----------------|----------------|---------|--------------|----------------|--------|
| Revenue         | \$89.6M        | \$87.0M | +3.0%        | \$77.2M        | +16.1% |
| Gross Profit    | \$38.8M        | —       | —            | —              | —      |
| Gross Margin %  | 43.3%          | —       | —            | —              | —      |
| EBITDA          | \$12.6M        | \$12.0M | +5.0%        | \$10.6M        | +18.9% |
| EBITDA Margin % | 14.1%          | —       | —            | —              | —      |
| D&A             | (\$1.9M)       | —       | —            | —              | —      |
| EBIT            | \$10.7M        | —       | —            | —              | —      |
| Interest        | (\$4.9M)       | —       | —            | —              | —      |
| Net Leverage    | 5.8x           | —       | —            | Entry: 5.9x    | —      |
| LTM EBITDA      | \$44.7M        | —       | —            | Entry: \$36.5M | —      |

## Operational KPIs

| KPI                    | Current Quarter | Entry Baseline | Target            |
|------------------------|-----------------|----------------|-------------------|
| DTC % of Revenue       | 26.9            | 22.0           | Target: 44.0      |
| Subscription Customers | 63,555.6        | 48,000.0       | Target: 118,000.0 |
| Roasting Facilities    | 4.0             | 3.0            | Target: 5.0       |
| Avg. Order Value (\$)  | 71.1            | 68.0           | Target: 82.0      |

## Strategic Initiatives

| Initiative                   | Status        | Detail                                                               |
|------------------------------|---------------|----------------------------------------------------------------------|
| Cascade Roasting integration | In progress   | Day-1 IMO established; systems unified target Q4 2020                |
| DTC channel growth           | Ahead of plan | DTC now 28% of revenue vs. 22% at entry; subscription launch Q3 2020 |
| Corporate channel recovery   | Monitoring    | Office returns expected H2 2021; corporate pipeline maintained       |
| ERP rollout                  | Completed     | All facilities on unified NetSuite platform as of Q2 2020            |

## Key Risks & Mitigation

| Risk                       | Severity | Mitigation                                                                |
|----------------------------|----------|---------------------------------------------------------------------------|
| COVID office demand impact | Medium   | Corporate channel -35% YoY; DTC fully offsetting                          |
| Supply chain / logistics   | Medium   | Green coffee supply stable; freight costs +12% — partially passed through |
| Cascade integration        | Low      | Strong Day-1; 94% employee retention; subscriber migration on track       |

## Next Quarter Outlook

Q1 Q1 2021 expected \$89.1M revenue. Corporate channel recovery expected H2 2021. Blue Mountain Coffee bolt-on pipeline active.

*Confidential — prepared for the Board of Directors of Crestview Coffee Roasters and Atlas Crossing Partners. Not for distribution.*